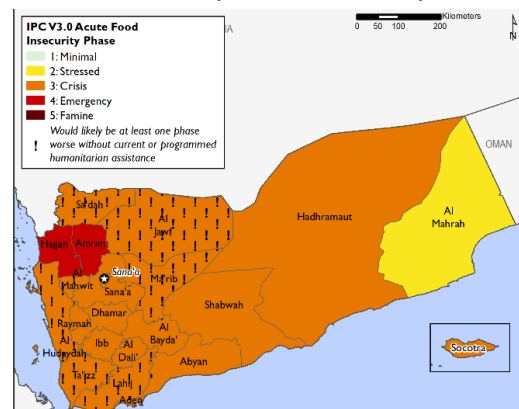


Rising fuel prices reduce profits from crop sales, while conflict intensifies in Ma'rib

KEY MESSAGES

- In Yemen, protracted conflict and poor macroeconomic conditions — as well as seasonal flooding in some areas — continue to disrupt livelihoods, reduce access to income, and drive significantly above-average food prices. Even in the presence of large-scale humanitarian assistance, **Crisis (IPC Phase 3)** outcomes are widespread at the governorate level. Hajjah and Amran are expected to be in Emergency (IPC Phase 4) during the local lean season, with improvement to Crisis! (IPC Phase 3!) expected around April/May. Although not the most likely scenario, Famine (IPC Phase 5) would be possible if food supply is cut off for a prolonged period.
- In January, prices of key food commodities continued to rise in northern governorates, largely attributed to fuel scarcity and increasing fuel prices. Meanwhile, in Aden and some other southern areas, the inability of the government to purchase fuel is worsening access to electricity and public services. Despite stable or declining food prices in southern areas in January, southern ROYG authorities increased the official price of petrol by around 13 percent in February, which is already reportedly impacting food prices. During the projection period, farmers are expected to realize further reductions in profits due to the increasing cost of fuel for irrigation, with reduced production levels likely in some areas.
- In February, conflict escalated in Ma'rib and Al Jawf, as Ansar Allah forces continue their offensive east toward Ma'rib City, with around **8,000 people newly displaced** in Ma'rib in the second two weeks of the month. It is likely that conflict will continue at intensified levels in the coming months, expected to lead to additional displacements and disrupt livelihoods. Although not the most likely scenario, it is possible that conflict reaches Ma'rib City during the projection period. Should this occur, tens or hundreds of thousands of civilians in and to the west of the city (including many in displacement settlements) would be impacted, with Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes likely among worst affected households who are displaced to areas where assistance cannot reach, or are unable to flee and unable to access markets or assistance due to movement restrictions.

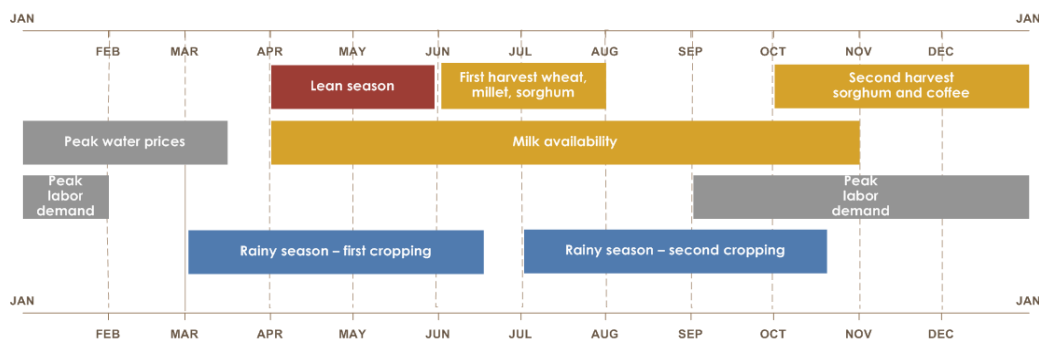
Current food security outcomes, February 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

SEASONAL CALENDAR FOR A TYPICAL YEAR



Source: FEWS NET

NATIONAL OVERVIEW

Current Situation

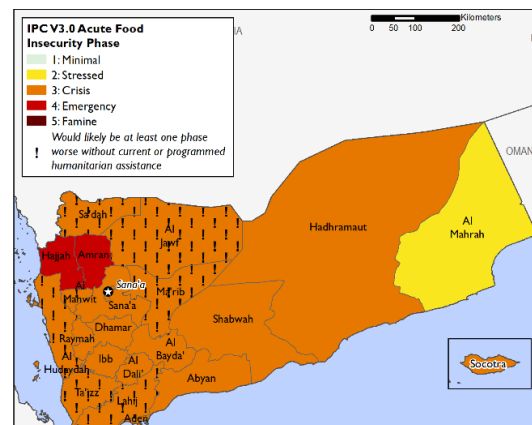
Conflict, political instability, and poor macroeconomic conditions in Yemen continue to restrict access to income and drive increasing food prices. Over 17 million people are currently in need of humanitarian assistance to prevent food consumption gaps and protect livelihoods.

In February, conflict escalated on the Ma'rib and Al Jawf fronts as Ansar Allah (known as the Houthis) forces continued their offensive east toward Ma'rib City. According to the International Organization for Migration (IOM), conflict has been increasingly concentrated on the frontlines west of the city in [Sirwah district](#) of Ma'rib. In mid-February, Houthi forces reportedly gained territory in sight of the Ma'rib dam in mid-February according to a Yemeni security firm. On other frontlines, including the Al Bayda, Al Dali', Al Hudaydah, and Ta'izz fronts, conflict has continued, though at somewhat reduced levels in February according to data from Intelyse, likely due to the increased attention on Ma'rib. However, cross-border attacks resumed in late January and have continued into February, resulting in an uptick in incidents in Hajjah and Sa'dah. In the south, progress toward the implementation of the Riyadh Agreement remains stalled.

Conflict continues to disrupt typical livelihood activities and drive large-scale displacement, with Ma'rib worst affected in 2021 to date. From January 1 to February 22, the IOM recorded an estimated 15,000 individuals displaced across the 13 of 24 governorates monitored. Given limited coverage, this is an underestimate of the total number displaced in Yemen in this time period. In the monitored governorates, most recorded [displacements in January](#) occurred in Al Dali, Ta'izz, and Al Hudaydah, while most displacements in February occurred in Ma'rib. In the two weeks from [February 7 to February 22](#), around 8,000 people were newly displaced in Ma'rib, most of whom moved to nearby locations within the governorate. During this time, Sirwah district was worst affected, with [over 1,000 households](#) (around 6,000 people) expected to have been displaced. IOM is coordinating the provision of emergency shelter and non-food assistance. Ma'rib hosts the highest number of displaced people of any governorate – likely [over 800,000](#) across seven districts.

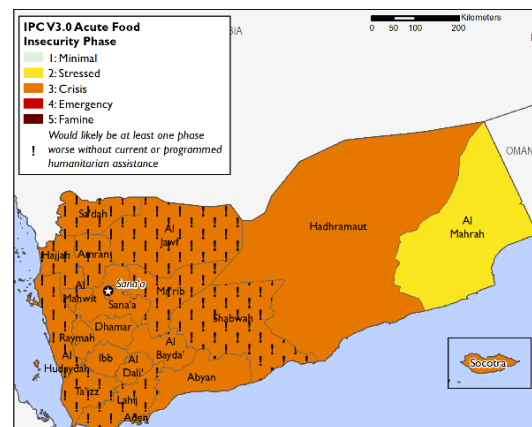
Driven by the impacts of protracted conflict, Yemen's economy continues to be impacted by severe government revenue and foreign currency shortages, depreciation of the currency, and rising costs of imported commodities. Yemen is highly dependent on imports for staple food, fuel, and medicine. According to data from [UNVIM](#) and [FAO](#), food import levels through Yemen's main sea ports of Aden, Al Hudaydah, and Salif in January 2021 totaled 645,918 MT, 43 percent higher than the monthly average in 2020 and higher than in any recorded monthly total in 2020. In December 2020, the Central Bank of Yemen (CBY) in Aden used the last of the \$2 billion Saudi deposit to buy currency and temporarily stabilize the exchange rate according to key informants. As such, concern is mounting over the sustainability of Yemen's letters of credit import financing mechanism that allows importers to access foreign currency at preferential exchange rates. However, according to the Central Bank of Yemen, a new round of letters of credit was [initiated in January](#), expected to cover commodity imports through March/April and food supply through around June to August given typical lag time in the supply chain. For this round, the preferential exchange rate was increased from 540 to 630 YER/USD, raising costs for importers and signaling that the mechanism is stressed.

Projected food security outcomes, February to May 2021



Source: FEWS NET

Projected food security outcomes, June to September 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

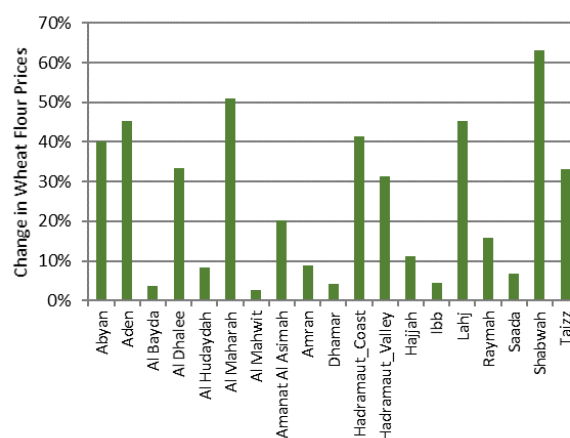
Meanwhile, 80,854 MT of fuel were imported through Yemen's Red Sea ports of Al Hudaydah and Salif in January 2021, a total 43 percent lower than the monthly average in 2020. As a result, fuel shortages and increasing parallel market prices continue to impact livelihoods and food prices in northern areas. Meanwhile, in Aden and other southern areas, inability of the government to purchase fuel is worsening access to electricity and public services. In February, the official prices of diesel, petrol, and cooking gas were raised by 12 to 13 percent throughout southern governorates and [the length of planned power outages in Aden was extended](#). Livelihood activities which depend on fuel include those in the agriculture, fishing, transportation, processing, and manufacturing sectors.

After generally depreciating over the past year, the average parallel exchange rate across southern governorates appreciated slightly (by 2.6 percent) from December 2020 to January 2021 according to data from FAO, marking the second month in a row of slight appreciation. However, key informants report that the exchange rate in Aden, which generally drives the exchange rate in other southern governorates, has been depreciating from January 1 to February 19, 2021. From December to January, average prices of imported staple wheat flour remained stable or decreased by up to 10 percent in many southern governorates. Despite this, wheat flour prices in southern governorates were still around 30 to 60 percent above levels recorded last year (Figure 1). Although authorities in Aden have expressed the need for traders to commit to lowering market prices of basic imported commodities in order to continue receiving preferential exchange rates, traders have not complied. Over the past year, wages have also been increasing due to inflation, but purchasing power as measured by terms of trade between wheat flour and wages in southern governorates remains worse than at the same time last year, with Shabwah, Lahij, and Al Mahrah worst affected (Figure 2).

In the north, the average parallel exchange rate continued to remain stable in January 2021. Despite stability of the exchange rate, prices of food have been increasing gradually over the past year, driven primarily by rising fuel prices and, consequently, increasing processing and transportation costs amidst shortages since mid-2020. According to key informants, parallel market fuel prices increased in many northern governorates in the second half of January 2021, with food prices also increasing as a result. According to data from FAO, monthly average imported wheat flour prices remained stable overall in January in some northern governorates, but increased by 11 percent in Amanat Al Asimah (Sana'a City) and by 7 percent in Raymah, Dhamar, and Sana'a, also driving deteriorating terms of trade relative to the previous month. In some northern governorates, improved terms of trade relative to the same time last year are being driven by higher wages. More recently, according to key informants, a large trader in the north has confirmed plans to increase prices of wheat grain and flour, expected to increase retail prices in northern areas by over 10 percent.

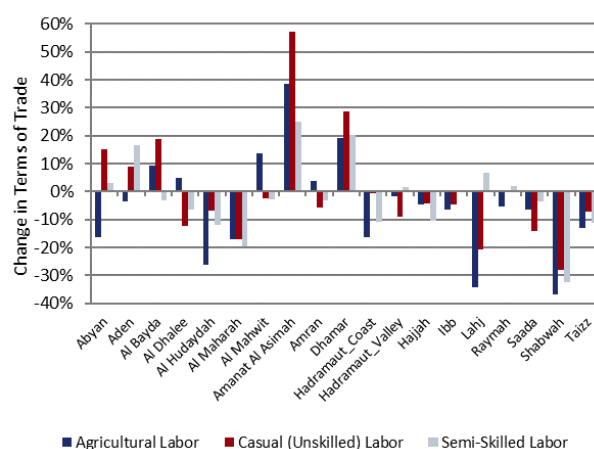
The number of new reported COVID-19 cases has remained [under ten per day](#) from early September to late February, although low testing capacity continues to limit understanding of disease spread with the continued expectation for significant underreporting of cases. Yemen has signed an agreement with the [COVAX](#) facility, which aims to accelerate equitable access to COVID-19 vaccines. Planning is underway to deliver vaccines to all governorates throughout 2021, and a first batch of [2.3 million doses](#) of the AstraZeneca vaccine has been confirmed and is expected to be delivered by March. Restrictions at land borders and increased screening and quarantine measures at ports likely remain in place according to available information.

Figure 1. Change in imported wheat flour prices in January 2021 relative to January 2020



Source: FEWS NET, using data from FAO

Figure 2. Change in purchasing power from January 2020 to January 2021, as measured by terms of trade between price of imported wheat flour (YER/kg) and labor wages (YER/day)



Source: FEWS NET, using data from FAO

Agricultural production and income levels last year are expected to have been similar to or better than in 2019 in many areas due to favorable precipitation throughout 2020 and consequent decreased reliance on fuel for irrigation. Currently, cereal harvesting activities are expected to be ongoing in many lower elevation areas of Yemen and fishing activities are expected to be at their peak in coastal areas and Socotra. This is expected to be increasing poor households' access to income from labor opportunities and temporarily increasing access to food and income from crop production and fishing. However, due to impacts of the protracted conflict, the scale of agriculture (especially for food crops) and fishing in Yemen has declined over the years. FAO estimates that Yemen's total domestic cereal production contributes less than 20 percent of all utilization needs, while domestic production of wheat—Yemen's key staple—contributes 5-10 percent; however, the domestically produced share of many other food commodities is [expected to be higher](#) according to Ministry of Agriculture data. Meanwhile, in higher elevation areas including Hajjah and Amran, food and income availability are at seasonally low levels.

According to key informants, livestock body conditions are poor in many areas due to lack of veterinary services and high prices for livestock inputs including medications. These conditions are reported to be average to below average for this time of year. In January 2021, prices of sheep and goats remained stable at the national level, at levels 2-6 percent above prices at the same time last year. However, trends differed across governorates due to local supply and demand factors.

Access to income from other sources remains significantly below pre-conflict levels and the five-year average, driven primarily by impacts of the conflict and consequent poor economic conditions. Due to government revenue shortages, salaries for civil servants continue to be impacted by delays or non-payment. According to key informants, the value of salaries has reduced given the impacts of depreciation, and much of the ROYG military had gone months without pay as of January. Meanwhile, given [high fees for money transfers](#) from southern to northern areas due to diverging exchange rates following the enforced ban on new bank notes in the north, remittance transfers within Yemen are likely to be below average. Remittances from Saudi Arabia to Yemen are also likely to be below average in many areas due to the compounding impacts of the mid-2020 global oil price slump and COVID-19 control measures (in 2020 and early 2021) on Saudi Arabia's economy in addition to rising cost of living in Saudi Arabia and increasingly nationalized Saudi labor policies.

In December 2020, WFP targeted [5.3 million beneficiaries](#) with emergency food assistance after access constraints prevented WFP from accessing some warehouses in Aden between mid-November and late December. Beneficiaries in southern areas who were not reached due to those constraints were moved to the January distribution cycle. In January 2021, WFP targeted [8.1 million beneficiaries](#). All beneficiaries are targeted with approximate 80 percent rations monthly in southern areas and every two months in northern areas.

No nutrition SMART surveys have been conducted since 2019. Though nutrition screening data is confounded by a variety of factors — including changes in the number, capacity, and location of treatment sites, changes in reporting rates among existing sites, and changes in the number of people seeking treatment — trends can still be useful to monitor. According to WHO's [December 2020 Nutrition Surveillance report](#), MAM prevalence (measured by MUAC due to COVID-19 prevention protocols) among children screened at non-representative sentinel sites across 107 priority districts decreased slightly to 17 percent in November and December after remaining steady at around 19-20 percent from June to October 2020. Meanwhile, SAM prevalence decreased to around 5 percent in November and December after remaining stable at around 7-8 percent from June to October. In general, there is no evidence that trends are [deviating from those recorded last year](#), though it is possible that the true trend differs due to the confounding factors described.

As a result of below-average income and rising food prices, poor households in many areas are expected to be facing increasingly constrained food access. In northern areas, the ongoing cuts to humanitarian assistance are expected to be restricting access to food, though improvements in purchasing power in some areas may be mitigating impacts. Available information suggests that most Yemenis face at least slight food consumption gaps or are engaging in negative livelihoods-based coping strategies such as selling productive assets in order to meet their food needs. Widespread Crisis (IPC Phase 3) or worse outcomes persist even in the presence of ongoing humanitarian food assistance, with an increasing number of worst-affected households in the current situation expected to be facing Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes in areas where active conflict is separating households from assets and livelihoods or where the prices of food and essential non-food commodities are driving the most rapid deterioration in terms of trade. Given available evidence on livelihoods, contributing factors, and outcomes, Hajjah and Amran are currently expected to be in Emergency (IPC Phase 4) at the current peak of the local lean season. Overall, FEWS NET estimates that 17-19 million people need emergency food assistance across Yemen.

Assumptions

The most likely scenario for the February to September 2021 period is based on the following national-level assumptions:

- Conflict is likely to continue at current high levels, including recently intensified levels in Ma'rib and Al Jawf. This is expected to lead to high levels of displacement to other parts of Ma'rib, Shabwah, and Hadhramaut. Although not the most likely scenario, it is possible that conflict reaches Ma'rib City during the projection period (see events that could change the scenario). In other parts of western Yemen, typical volatility in conflict and further displacement is likely. In the south, progress toward implementation of the Riyadh agreement is expected to remain stalled.
- Conflict-related access constraints are anticipated to persist throughout the scenario period. Key transport corridors are likely to continue to be closed or restricted, though volatility is likely. Delays at security checkpoints between northern and southern areas are expected to continue.
- Cumulative rainfall during Yemen's first rainy season from March to May 2021 is expected to be below average, driven by La Niña conditions. Although there is uncertainty given the long lead time, during the start of Yemen's second rainy season from July through September, cumulative rainfall is expected to be above average. Given this, risk of flooding is expected to be below average in the first rainy season and above average in the second rainy season. Coastal areas are more at risk of flooding during the first rainy season and eastern lowland areas more at risk during the second season. A typical risk of cyclone and associated flooding exists for Socotra and the southern coast, with peak risk expected from mid-March to mid-June and from October to December. Above-average mean temperatures are forecast throughout most of the country through September 2021.
- Risk of water- and vector-borne diseases such as cholera, malaria, and dengue, are expected to be elevated during Yemen's rainy seasons (in particular in association with flooding) and in areas where active conflict threatens public services infrastructure linked to water and sanitation.
- Some locust breeding in coastal areas is expected in the coming months. However, given forecast precipitation and wind direction, locust presence is expected to remain minimal throughout the projection period. Some risk of re-infestation persists, especially in eastern Yemen in the June to August period given typical seasonal wind direction.
- Overall, crop production in 2021 is expected to be below average due to the impacts of protracted conflict including loss of access to land and increased cost of inputs including seeds and fuel. Given expectations for below-average rainfall from March to May, as well as fuel shortages and consequent increased irrigation costs, production levels and income from crop sales are expected to be below last year's levels, particularly in northern areas.
- Harvesting of *qat* is expected year-round in higher elevation areas. *Qat* production is expected to be near average given prioritization of this cash crop with respect to irrigation resources.
- Given expectations for below-average precipitation from March to May, pasture conditions are expected to be below average in western Yemen during the first half of the projection period. Given historical patterns and expected above-average rainfall, pasture conditions in the west are likely to improve to above-average during the second half of the projection period, though mixed anomalies are possible due to spatial and temporal distribution of rainfall.
- Livestock body conditions and productivity will likely remain poor in some areas due to lack of veterinary services and high medication costs, and are likely to decline to below average levels in some areas in the first half of the projection period due to below-average pasture conditions and increased fodder prices. Milk availability is expected to increase seasonally around April. Livestock prices and demand are expected to increase prior to Ramadan and Eid holidays, increasing access to income from livestock sales.
- Fishing will likely remain below pre-conflict levels, with western coastal areas worst affected.
- Oil production and export levels are likely to be similar to levels in 2020. Given [recovery of global oil prices](#) since mid-2020, foreign exchange earnings from oil exports in 2021 are expected to be slightly higher than last year's levels and above the five-year average, but significantly below pre-conflict levels.
- The number of newly reported COVID-19 cases is expected to remain low throughout the projection period, though with underreporting of cases likely to continue. Some limited vaccination is expected in the scenario period.

Currently enacted control measures are expected to remain in place. Restrictions on businesses and gatherings are likely to remain lifted.

- Income from foreign remittances is expected to gradually recover given expectations for economic recovery in Saudi Arabia but remain below pre-COVID levels in some areas of Yemen throughout the projection period. Income from domestic remittances is expected to remain below-average throughout the projection period due reduced purchasing power among those who send remittances and increasing fees for money transfers.
- Funding for humanitarian operations in Yemen is expected to remain similar to relatively lower 2020 levels during the projection period, with some humanitarian operations likely to continue at relatively reduced capacity.
- Given expectations for oil export revenue, remittances, and funding for humanitarian operations, foreign currency shortages are expected to persist throughout the scenario period. Informal markets will continue to play a key role in regulating access to foreign currency. No large deposit of foreign currency (similar to the 2 billion USD deposit made by Saudi Arabia in early 2018) is expected in the scenario period.
- Due to the impacts of protracted conflict and foreign currency shortages, macroeconomic conditions are likely to continue deteriorating. In southern areas, the YER is expected to depreciate throughout the projection period due to the inability of the CBY in Aden to intervene, reaching levels between 908 to 938 YER/USD by September 2021. In northern areas, the YER is expected to remain generally stable.
- Due to persistent government revenue shortages, income from civil servant salaries will likely remain below average throughout the projection period. Payment will likely continue to be intermittent or absent in many areas.
- Access to income from agricultural and non-agricultural labor is expected to remain below average but seasonally increase in highland areas and seasonally decrease in lowland areas in the second half of the projection period due to shifts in demand for labor associated with typical harvest periods and associated economic activity. Throughout the projection period, wages are expected to increase in many areas due to inflation. However, the real value of income from labor opportunities is expected to remain stable or decrease and remain below average.
- Food and fuel imports are expected to continue at levels similar to those recorded in the second half of 2020, though with month-to-month volatility. Further erosion of the import financing mechanism and/or a sharp and sustained decline in levels of food imports to significantly low levels is not expected in the projection period. Informal trade of food and livestock across land borders is expected to continue at reduced levels relative to the pre-conflict period.
- Fuel prices are expected to remain significantly above five-year average and pre-conflict levels, with further price increases and significant volatility likely in northern areas due to ongoing fuel shortages and in southern areas given government plans to further increase prices in the coming months.
- Driven by depreciation of the currency and increasing fuel prices, prices of essential food and non-food items are expected to continue increasing throughout the scenario period, with southern areas worst affected. During this time, additional upward pressure on prices is expected due to the progression of the agricultural lean season in the highlands through March and in the lowlands through July. In Al Hudaydah, wheat flour prices are expected to increase throughout the scenario period, to reach levels between 294 and 307 YER/kg by September 2021. In Aden, prices are generally expected to remain over 100 YER/kg higher, though some month-to-month volatility is possible and increase throughout the scenario period in proportion to the exchange rate in the south.
- Beneficiaries reached by WFP with emergency food assistance in northern Houthi-controlled areas are expected to continue receiving distributions only every other month. Beneficiaries in other areas are expected to continue receiving distributions monthly. Some delays in deliveries are expected as humanitarian partners will continue to face restrictions on movement as well as fuel shortages. Access to humanitarian assistance is expected to be constrained at times and in areas where conflict or flooding impacts travel routes.
- Schools and WFP school feeding programs are expected to remain open through the end of the school year in June. Nutrition treatment programs are expected to continue operating at current capacity.

Most Likely Food Security Outcomes

Throughout the projection period, access to income among poor households is expected to remain significantly below average. Despite some improvements in access to income expected for households dependent on foreign remittances and during times of peak labor availability, access to income from other sources is expected to remain similar to or lower than current levels. In particular, households dependent on fuel for their livelihoods are likely to experience reductions in income-earning throughout the scenario period. Meanwhile, it is unlikely that wages will be able to fully keep pace with inflation, with the real value of wages expected to decrease in some areas. Given this and expectations for rising food prices — especially in the south — household food access will likely be increasingly constrained for many poor households in lower elevation rural areas and in urban areas worst affected by rising food prices and declining terms of trade. Meanwhile, access to food and income is expected to seasonally improve around April/May for many poor households in higher elevation areas given the end to the typical lean season and the start of harvesting.

Most areas of western Yemen are expected to remain in Crisis (IPC Phase 3) or Crisis! (IPC Phase 3!) throughout the projection period, though pockets of Emergency (IPC Phase 4) outcomes are likely. Around April/May, area-level improvement to Crisis (IPC Phase 3) is expected in Hajjah and Amran, although a relatively higher proportion of the population is expected to continue facing worse outcomes. In Ma'rib and other areas impacted by active conflict, households who are displaced or re-displaced will be separated from shelters, assets, and livelihoods. Displaced households are likely to experience Stressed! (IPC Phase 2!) and Crisis! (IPC Phase 3!) outcomes in the presence of humanitarian assistance, although worse outcomes are likely in areas where conflict restricts access to safer areas and to humanitarian assistance.

The prevalence of acute malnutrition is expected to seasonally increase through the typical peak around May to July (as has been the case in 2019 and 2020 according to WHO nutrition screening data) due to increased disease prevalence, and then decline somewhat through the end of the projection period. Overall, the total population in need of food assistance is likely to remain stable given seasonality factors, though with approximately 17–19 million people in Yemen still expected to need humanitarian assistance throughout the projection period to prevent consumption gaps and protect livelihoods. Seasonal improvements in food security are not reflected in the food insecurity mapping given that, despite these likely fluctuations, improvements are not enough to change area-level phase due to significantly below average access to food and income overall. Though not the most likely scenario, Famine (IPC Phase 5) remains possible should there be a significant shock to commercial import levels or if food supply is cut off from particular areas for a prolonged period.

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario:

Area	Event	Impact on food security outcomes
Ma'rib	Conflict reaches Ma'rib City	Tens or hundreds of thousands of households in Ma'rib would likely be displaced or re-displaced as conflict progresses eastward. While some re-displaced households would likely move back to their original homes in western parts of the governorate, others are likely to move to eastern parts of Ma'rib, Shabwah, and Hadhramaut. However, it remains possible that conflict restricts movement and prevents households from fleeing to safer areas and from being reached with humanitarian assistance. Should this occur, Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes would be likely. Among many poor households who are not able to flee or who choose to remain in the city and surrounding areas, access to food would likely be further constrained as food prices increase due to the likelihood of some households stockpiling food and due to increased taxes for traders entering Houthi-controlled territory. In the stretch of days after conflict reaches the city, Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes would be likely among worst affected households who cannot access markets. There also remains a risk that humanitarian actors would not be able to access the city for a period of around two months, as occurred in Al Hudaydah, which would likely result in widening consumption gaps among worst-affected households.

National	CBY in Aden further erodes the letters of credit import financing mechanism	This would likely result in higher prices for essential goods. The cost of importing these goods would increase in the near term as traders/importers lose access to a preferential exchange rate, with increased costs transmitted to retail prices in subsequent months. Traders would likely increase use of informal financial networks as an immediate response, which would likely in the long term (more than six months) result in import financing gaps for certain luxury food and non-food commodities, though traders would likely prioritize the most essential. This would also increase the risk of a sudden reduction in food import levels (see below) should there be a shock to foreign currency availability. Given limited ability for households to compensate for rising prices through expansion of income-earning, this would further constrain access to food for many poor households. An increase in the number of households facing Crisis (IPC Phase 3) or worse outcomes would be likely, with area-level deterioration to Emergency (IPC Phase 4) possible in areas where food prices increase most sharply.
National	Food import levels fall dramatically	Food prices would likely rise as market actors respond. In the medium term (four to six months), if prolonged, a significant reduction in commercial food imports would be expected to manifest in reduced food availability in many areas of the country as stocks in Yemen (expected to be equivalent to around three months of needs) are depleted. This would result in further food price increases and would be expected to result in an increase in the number of households facing Crisis (IPC Phase 3) or worse outcomes — as well as an increase in the severity of acute food insecurity among these households — as households' purchasing power reduces. Area-level deterioration to Emergency (IPC Phase 4) would be possible in areas where food availability is significantly reduced for a prolonged period. In a worst-case scenario where food supply is cut off from particular areas for a prolonged period of time, Famine (IPC Phase 5) remains possible.
National	Yemen receives another large injection of hard currency	The exchange rate in southern areas would be expected to stabilize while the deposit lasts. Food prices would not be expected to return to previous levels, though further price increases would be moderated. As a result, purchasing power would remain reduced for most poor households in areas where price increases have occurred.
National	Further reductions to humanitarian assistance	Access to food would be further reduced in affected areas. In southern areas, an increase in the number of households facing Crisis (IPC Phase 3) or worse outcomes — especially in areas worst affected by rising food prices — would be likely. In northern areas currently receiving assistance distributions every other month, deterioration would be more rapid.
Red Sea coastal areas	Decaying SAFER oil tanker causes a spill	Although this event is not assessed to be highly likely during the scenario period, the risk of this is increasing over time. Should this occur, destruction of fish and fishing grounds would further damage livelihoods along the Red Sea coast, in addition to more widespread environmental consequences. Households dependent on fishing would be expected to face increasingly constrained food access, with an increasing number expected to face Crisis (IPC Phase 3) or worse outcomes.
National	Major parties to conflict achieve a lasting ceasefire	In time, food access for many households would begin to improve as prices of staple food commodities decline, household access to food and income begins to return to normal, and IDPs begin to return to their areas of origin. However, widespread improvement in food security outcomes would not occur before the economy fully stabilizes and major government functions and livelihood activities are able to resume.

AREAS OF CONCERN

Shabwah Governorate

Current Situation

Shabwah governorate is located in the southeastern part of Yemen along the Arabian Sea Coast. The main economic activities are agriculture, fishing, and oil production. Livestock keeping and beekeeping are also important activities in many of Shabwah's [livelihood zones](#). Poor households earn income primarily from labor opportunities, supplemented by crop and livestock sales, fish sales, and remittances. However, income-earning opportunities are generally more limited than in other neighboring governorates. In addition to market purchases, own crop and livestock production play an important role in food ability for many rural households, as does humanitarian assistance for both rural and urban households. The population of the governorate is around 670,000 according to FSAC estimates.

Demand for agricultural labor is highest during harvest seasons across the governorate's main livelihood zones from January to March (maize, millet, vegetables), June to July (citrus), and October to December (sorghum). As such, the peak of demand occurs in the October to March period. Onion is cultivated year-round. However, due to the impact of multiple shocks including conflict, demand for wage labor is below average. Labor migration to other governorates is typically available throughout the year. The season for fishing is typically from October to May, though production in the fisheries sector has been well below average since the start of the conflict, due primarily due high fuel prices and inability of small fishers to compete with larger fishers.

Crop production in the late 2020 sorghum harvests was supported by an above-average rainy season in the governorate and was likely near recent average levels though below pre-conflict levels. Locusts reportedly caused some damage to crops and trees in Rawda district in October 2020, though locusts did not impact overall production levels in the governorate. Currently, harvesting of maize, millet, tomatoes, and onions — as well as harvesting of smaller amounts of wheat and barley, mainly in Beyhan — is ongoing with the onset of spring in February, and planting of sorghum has started.

According to data from ACLED and Intelyse, levels of conflict in late 2020 and early 2021 have been lower than levels recorded from mid-2019 to mid-2020 when clashes between STC and pro-Hadi forces were ongoing. From November 2020 to January 2021, most incidents recorded by Intelyse have been concentrated in and around Habbān.

According to [IOM data](#), a total 434 households were displaced from Shabwah throughout 2020, over 90 percent due to natural disasters, mostly in June 2020. All of these households were displaced to other parts of the governorate. Meanwhile, an additional 265 households were displaced from other governorates, mostly due to conflict in Ma'rib (133). From January 1 to February 13, 2021, 13 households were displaced to Shabwah, 78 percent lower than the monthly average in 2020. Shabwah is also an entry point for migrants arriving in Yemen (many of whom are ultimately seeking to reach Saudi Arabia). In the last two weeks of December 2020, the IOM reported that 789 migrants arrived in the southern governorates of Shabwah, Abyan, and Lahj.

According the Yemen Logistics Cluster's [February 2021 access constraints map](#), all major roads are "open," or "difficult to access," although the main road that connects Shabwah with Sana'a is closed due to conflict in Ma'rib, increasing travel distance to Sana'a. However, poor road networks are an obstacle for households in remote rural areas, forcing many to embark on long journeys to reach local markets.

According to the COVID-19 preparedness and response monthly report, there were [144 confirmed COVID-19 cases](#) reported in Shabwah in December 2020. There are ten fully functional, four partially functional, and two non-functional health facilities in the governorate, in addition to [two isolation units](#) dedicated to the treatment of COVID-19.

Shabwah has been affected by the deteriorating macroeconomic conditions in Yemen, resulting in depreciation of the currency, increased fees for money transfers, and rising food prices. According to data from FAO, the local currency has

Figure 3. Reference map for Shabwah governorate



Source: FEWS NET

generally continued losing its value over the past year, reaching its peak during November 2020 at 848 YER/USD, 14 percent higher than the previous peak recorded in October 2018. In January 2021, the average exchange rate in Shabwah was recorded at 798 YER/USD, 24 percent higher than at the same time last year.

Wheat and rice are the two most important staple foods for most households in Shabwah. According to FAO data, food prices in southern areas are very vulnerable to the exchange rate, increasing when the currency depreciates but falling only slightly when appreciation occurs. Shabwah has been among the worst affected by price increases over the past year. In January 2021, prices of imported staple wheat flour were on average 63 percent higher than at the same time last year, while prices for imported non-basmati rice were on average 50 percent higher. In January 2021, the cost of the minimum/survival food basket (MFB) for seven people was 61,300 YER the third highest of any governorate, after Socotra and Lahj.

After exhibiting some volatility over the past year (decreasing in the first quarter of 2020 and increasing in the second), official fuel prices decreased from December 2020 to January 2021 to reach levels lower than at the same time last year — by 9 percent for diesel, 14 percent for petrol, and 11 percent for cooking gas, according to FAO data. However, unofficial prices (which FAO started tracking this month) were 18 to 26 percent higher than official prices.

Agricultural labor wage rates have remained generally stable over the past year according to FAO data, with wages in January 2021 similar to last year (3 percent higher). For unskilled laborers and semi-skilled laborers, wage rates in January 2021 were 17 and 10 percent higher, respectively, than wages at the same time last year. However, as a result of increasing food prices, purchasing power as measured by the terms of trade (a ratio) between imported wheat flour prices (YER/1 kg) and wage rates (YER/day) in January 2021 was 37 percent lower for agricultural laborers, 28 percent lower for unskilled laborers, and 33 percent lower for semi-skilled laborers, relative to the same time last year (Figure 4).

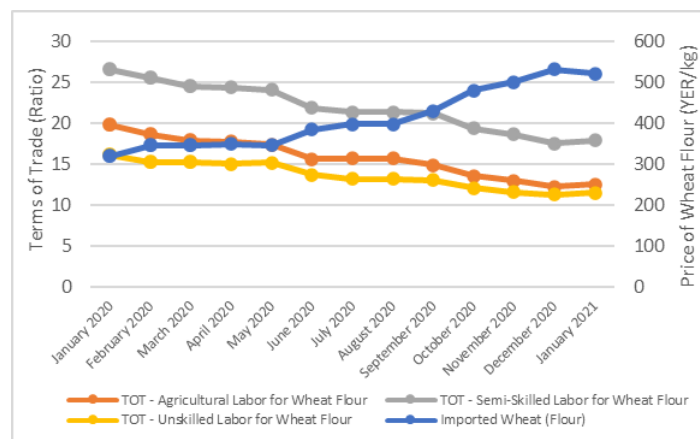
Lack of job opportunities for wage laborers renders them very vulnerable to price shocks. Though precise estimates of the number of days that laborers are able to find work, on average, are not available, it is expected that this figure might range from five to ten days per month. For an unskilled worker able to work for five days and at the average wage rate for January 2021, monthly income from this source would be enough to purchase only 49 percent of the MFB. For a worker able to work ten days, earnings would be equivalent to 98 percent of the MFB. Though households likely earn income from multiple wage earners and sources, a households also has essential non-food expenses and the MFB is not a nutritionally adequate diet.

WFP mVAM surveys covered four districts (Nisab, Usaylan, Bayhan, and Ataq, representing a mixture of rural and urban areas) in Shabwah as of early 2020, though coverage may have shifted over time. According to latest available WFP mVAM data from September 2020, the percentage of households reporting poor food consumption score (FCS) has been volatile over the prior year (since September 2019) but has generally increased by around 5 percentage points. The average reduced coping strategies index (rCSI) score remained generally stable in that time, though with some month-to-month volatility (ranging between scores of 15 and 18). Overall, displaced households and households not receiving assistance display worse outcome indicators, though sample size is more limited among displaced households. In September 2020, around 44 percent of respondents had been assisted by WFP for 1-3 months, while 22 percent did not receive any assistance.

According to FSAC data, over 300,000 beneficiaries (approximately half of the governorate's population) are being reached with nearly full rations of emergency food assistance each month. In December 2020, however, WFP and partners were unable to deliver emergency food assistance after being unable to access warehouses.

Shabwah has experienced the most rapid food price increases and deteriorating terms of trade of any governorate in recent months, alongside increased fuel prices and inflation of essential non-food expenses. Despite ongoing cereal harvesting and

Figure 4. Imported wheat flour prices (YER/kg) and purchasing power as measured by terms of trade between price of imported wheat flour (YER/kg) and labor wages (YER/day), change from January 2020 to January 2021



Source: FAO

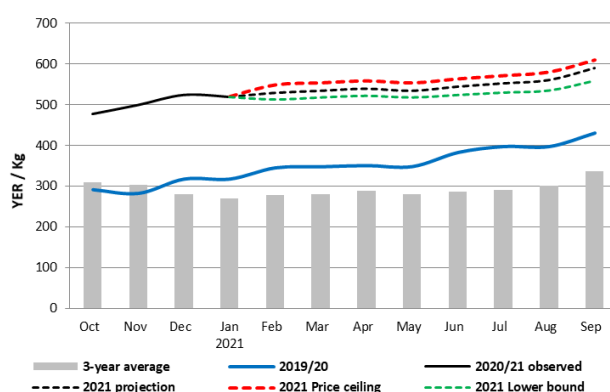
relatively higher demand for labor in the current period, many households are expected to be seeking to increase income-earning in order to meet their food and essential non-food needs. However, opportunities for labor within Shabwah and in other governorates remains limited relative to the number of households seeking income-earning opportunities. As a result, an increasing number of households are expected to be resorting to coping strategies including borrowing money or purchasing food on credit where possible, but also depleting assets including atypical livestock sales. Overall, Crisis (IPC Phase 3) outcomes are expected to persist at the governorate level, with an increase in the scale and severity of acute food insecurity for many. Poor urban households — including those recently displaced to urban areas of Shabwah — are likely among the worst affected given high market dependence and limited alternative livelihood options.

Assumptions

In addition to the national-level assumptions, projected outcomes for Shabwah governorate are based on the following:

- Levels of conflict are expected to remain low, though displaced households are expected to continue to arrive in the governorate. An increase in the number of households displaced from Ma'rib to Shabwah—especially Bayhan district—is expected in the scenario period.
- Food prices are expected to continue increasing throughout the projection period, driven by continued depreciation of the currency, with staple wheat flour prices expected to reach levels between 560 and 611 YER by September 2021.
- An elevated risk of flooding exists during the second rainy season.
- Harvesting of maize, millet, and vegetables is expected to continue through around March, after which point the availability of local labor will decline. Agricultural production levels are expected to be below pre-conflict levels during the scenario period due to the above-average prices of agriculture inputs including increasing fuel prices.
- Livestock body conditions and productivity are likely to be below average during the second half of the scenario period due to seasonally low pasture availability.
- Fishing activities in the coastal districts will likely remain limited due to insecurity and higher costs of fuel and equipment. Demand for fishing labor is expected to remain low throughout the year.
- The provision of HFA is expected to continue at current levels.

Figure 5. Integrated price projections (YER/kg) for imported wheat flour in Shabwah market



Source: FAO (observed) and FEWS NET (projections)

Most Likely Food Security Outcomes

Throughout the projection period, rising prices of food and essential non-food commodities are expected to further reduce household purchasing power, with access to income expected to remain below average. Though wages are expected to increase somewhat due to inflation, increases are not expected to keep up with the rising cost of goods and government salaries are not expected to increase. At the same time, availability of local labor opportunities is expected to decline after March. As a result, Crisis (IPC Phase 3) outcomes are expected to persist at the area level in the February to May period, with an increasing number of poor households expected to be relying on severe coping strategies such as selling livestock during this time. In the June to September period, household food stocks are expected to decline given lack of recent agricultural production. As such, the continued provision of humanitarian assistance at current levels will likely be preventing worse outcomes at the area level, with Crisis! (IPC Phase 3!) outcomes expected.

higher, for diesel/cooking gas and petrol, respectively, relative to official prices in January. Even official fuel prices remain more than double pre-conflict levels.

Despite the above-average rainfall in the previous season, agricultural production levels in 2020 were impacted by flooding according to key informants and were likely well below pre-conflict levels. Due to the fuel shortages and high prices, there have been some reports of farmers struggling to sufficiently irrigate their mango crops, with concern for crop damage.

Livestock are an important livelihood source in Tihamah including Al Hudaydah, which has traditionally been one of the most important supplies of livestock to other areas of Yemen. From December 2020 to January 2021, prices of goats and chickens remained stable and prices of sheep increased by up to 9 percent. Prices in January 2021 were similar to prices at the same time last year. However, herd sizes are below average due to the impacts of conflict.

Currently, in the Tihamah Plains, households are growing fodder to support livestock, though at reduced levels due to fuel shortages and high prices for irrigation. Farmers in highland areas of the governorate are not growing fodder in the agricultural off season.

Rising fuel costs are also putting upward pressure on food prices. Wheat and rice are the two most important staple foods for most households in Al Hudaydah. In January 2021, the retail price of imported wheat flour was around 4 percent higher than the previous month and 8 percent higher than the same time last year. At the same time, agricultural labor wages as of January 2021 have declined by 20 percent compared to the same time last year according to FAO data, with wages for semi-skilled laborers declining by 5 percent and wages for unskilled (casual) laborers similar to last year's levels. As a result, purchasing power for laborers has reduced compared to the same time last year, with terms of trade for agricultural, unskilled (casual), and semi-skilled laborers lower by 26 percent, 7 percent, and 12 percent, respectively (Figure 8).

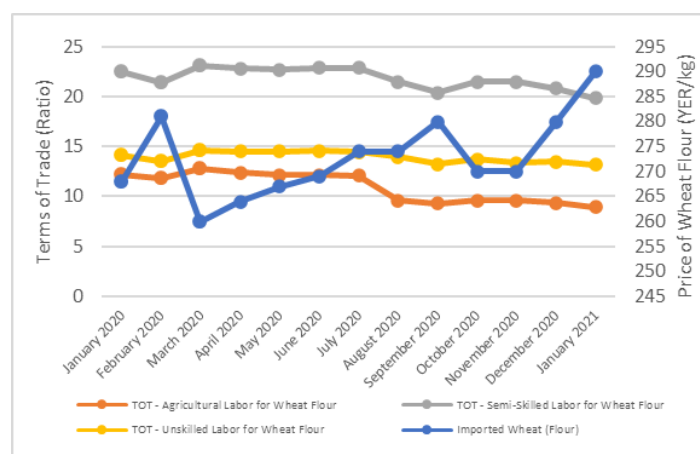
According to FSAC data, about 1.5 million beneficiaries (approximately half of the governorate's population) are being officially targeted with nearly full rations of emergency food assistance every month. However, the levels of assistance provision have been variable, due to reductions in the frequency of assistance deliveries in Houthi-controlled areas (from monthly to every other month) that occurred in April 2020. In December 2020, WFP and partners reportedly reached 1.29 million beneficiaries (88 percent of the target population) in the governorate, compared to 21 and 20 percent of the same population in November and September 2020, respectively. Moreover, district coverage is variable on a month-to-month basis. In December, districts with the highest proportions of targeted households reached were Az Zuhrah, As Sukhnah, Al Qanawis, Al Mighlaf, Al Marawi'ah, Al Mansuriyah, and Al Hawak, whereas districts with the lowest were At Tuhayat, Al Khawkhah, and Hays.

WFP mVAM surveys covered two districts (Al Marawi'ah and Bajil) in Al Hudaydah as of early 2020, though coverage may have shifted over time. According to latest available WFP mVAM data from September 2020, the percentage of households reporting poor food consumption score (FCS) has exhibited some month-to-month volatility over the prior year (since September 2019) but has generally increased by around 5 percentage points since around March 2020, just before humanitarian food assistance deliveries were reduced. The average reduced coping strategies index (rCSI) score remained generally stable in that time, though with some month-to-month volatility (ranging between scores of 18 and 22).

There are five health facilities in Al Hudaydah — three fully functional while the other two are partially functional and nonfunctional. Yemen has [seven laboratories with COVID-19 testing capacity](#) (four in the south and three in the north), one of which is located in Al Hudaydah in addition to two isolation facilities.

Based on available information on outcomes and an analysis of poor households' access to food and income, Crisis! (IPC Phase 3!) outcomes likely persist at the governorate level, with humanitarian assistance provision expected to be preventing worse

Figure 8. Imported wheat flour price (YER/kg) and purchasing power as measured by terms of trade (a ratio) between price of imported wheat flour (1 kg) and labor wages (1 day), change from January 2020 to January 2021



Source: FAO

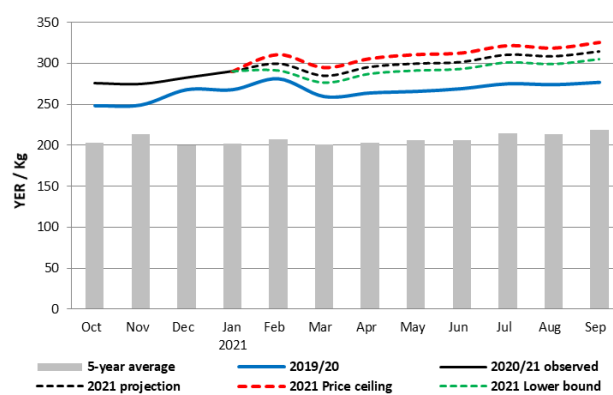
outcomes. However, pockets of worse outcomes are expected, especially in areas where conflict continued to damage livelihoods and restrict movement. Despite reduction in deliveries to every other month, the large-scale nature of assistance provision is still expected to be preventing more extreme outcomes at the area level, though an increasing number of households are likely facing worse outcomes as they exhaust available coping strategies.

Assumptions

In addition to the national-level assumptions, projected outcomes for Al Hudaydah governorate are based on the following:

- Conflict is expected to continue at near-current levels, though with volatility likely. Conflict-related displacements and access constraints are expected to continue.
- Food prices are expected to continue increasing throughout the projection period, driven by rising fuel prices, with staple wheat flour prices expected to reach levels between 305 and 326 YER by September 2021.
- A risk of flooding exists in Al Hudaydah during Yemen's rainy seasons and particularly during the first rainy season given typical rainfall patterns. Although risk of flooding in the first season is expected to be below average overall due to anticipated below-average precipitation, above-average soil moisture elevates the risk of flooding associated with isolated storms.
- Both income and profit margins from the upcoming mango harvest are likely to be below average due to impacts of fuel shortages, which are expected to result in some pre-harvest crop losses due to inability to irrigate as well as inability to increase market prices given constrained consumer purchasing power. COVID-19 export restrictions are expected to further reduce income from this source.
- Milk production is expected to be seasonally available from April/May. However, access to own milk production is expected to be below average due to significant loss of livestock holdings in previous years since the conflict started.
- Fishing activities in the coastal districts will likely remain limited due to insecurity and higher costs of fuel and equipment. Demand for fishing labor is expected to remain low throughout the year.
- The provision of HFA is expected to continue at current levels.

Figure 9. Integrated price projections (YER/kg) for imported wheat flour in Al Hudaydah market



Source: FAO (observed) and FEWS NET (projections)

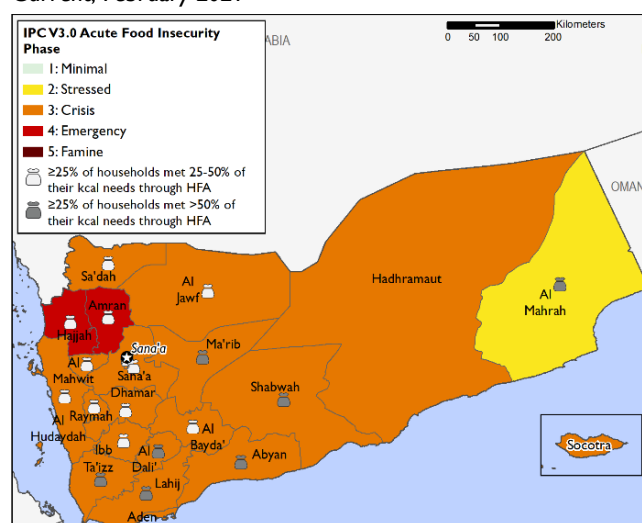
Most Likely Food Security Outcomes

In the February to May 2021 period, access to food and income from own production will likely slightly improve during the harvest season for fruits and vegetables, and availability of casual and agricultural labor opportunities is expected to increase access to income for poor households. Despite this, access to income is expected to remain significantly below average overall, with fuel shortages and below-average rainfall in the first rainy season expected to reduce income available from crop production. Many households who experienced reductions to humanitarian assistance benefits in April 2020 are already expected to be resorting to increasingly severe coping or facing widening consumption gaps. As a result, Crisis! (IPC Phase 3!) outcomes are expected to persist throughout the projection period, with an increasing number of households likely to experience worse outcomes during the lean season in August and September. Those directly affected by conflict are likely to face most severe outcomes, with displaced households expected to abandon assets such as selling their livestock herds at very low prices.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

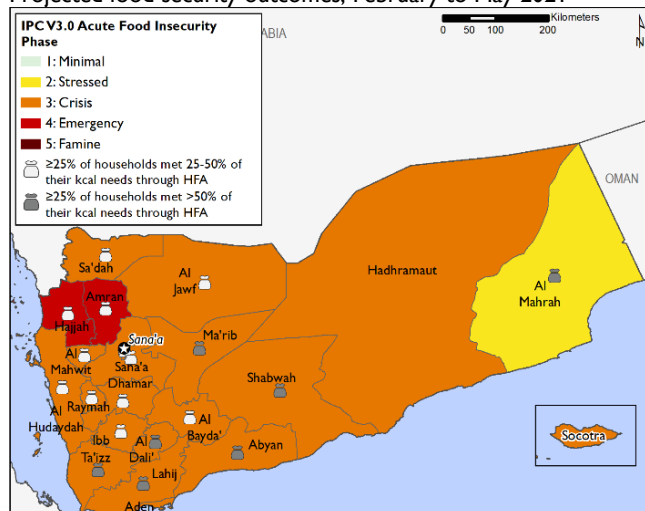
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. 🏠 indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). 🏠 indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Current, February 2021



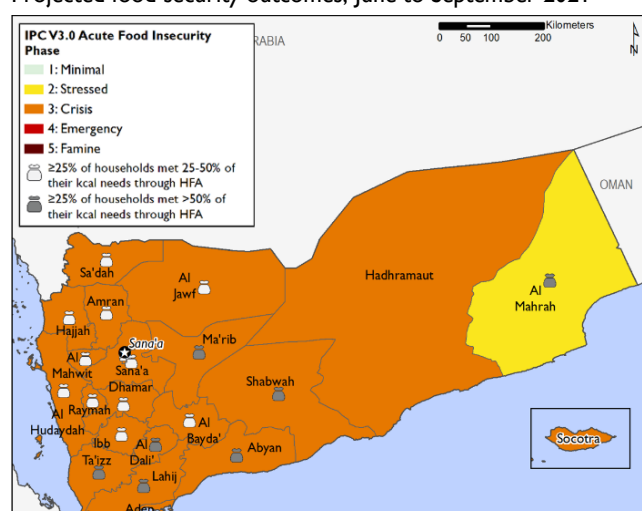
Source: FEWS NET

Projected food security outcomes, February to May 2021



Source: FEWS NET

Projected food security outcomes, June to September 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. [Learn more here.](#)